Development

The big idea

What does "development" mean? For a landless rural labourer it may mean more days of work and better wages; for a rich farmer, higher support prices; for a girl, as much freedom as her brother. **Different people have different, sometimes conflicting, developmental goals.** This chapter explores how we measure development, using **income** and other **goals** like health, education and security, how we compare countries and states, and why development must be **sustainable**.

Different people, different goals

Category of person	Possible developmental goals
Landless rural labourers	More days of work and better wages; local school for children; no social discrimination
Prosperous farmers from Punjab	Higher support prices for crops; assured high family income; settling children abroad
Farmers dependent only on rain	Irrigation, better rainfall, crop insurance
A rural woman from a land-owning family	Regular job and freedom; same opportunities as her brother
Urban unemployed youth	Jobs
A boy from a rich urban family	Better higher education, travel

Category of person	Possible developmental goals
A girl from a rich urban family	As much freedom as her brother; to decide what she wants to do in life
An adivasi from Narmada valley	Livelihood and land; no displacement

CONFLICTING GOALS

What may be development for one may not be development for another, and may even be destructive. Example: to get more electricity, industrialists may want more dams. But this may submerge land and disrupt the lives of people who are displaced, such as **tribals**. So people's notion of development is **different and conflicting**.

Income and other goals

Common goal: **more income**, regular work, better wages and decent prices for crops. But people also seek **non-material things**: equal treatment, freedom, security, respect of others. They resent discrimination. In some cases, these may be more important than more income or more consumption, because material things are not all that is needed to live.

WHY NON-INCOME GOALS MATTER

If women are engaged in paid work, their dignity in the household and society increases. However, it is also the case that if there is respect for women, there would be more sharing of housework and greater acceptance of women working outside. A **safe and secure environment** may allow more women to take up a variety of jobs or run a business. So, for development, people look at a **mix of goals**.

Comparing countries and states

National income is the total income of all residents of a country. It is not a useful measure for comparison between countries since populations differ. So we compare **average income**, which is the total income of the country divided by its total population. Average income is also called **per capita income**.

PER CAPITA (AVERAGE) INCOME

Per capita income = Total income of the country ÷ Total population

World Bank's classification. The **World Bank** uses per capita income as the criterion in its **World Development Report** to classify countries. Countries with a per capita income of about **US$ 12,000 and above per annum** (2017 figures) are called **rich or high-income countries**, and those with about **US$ 1,000 or less** are called **low-income countries**. **India** comes in the category of **low middle-income countries**; its per capita income in 2017 was just about **US$ 1,820** per annum. The rich countries, excluding countries of the Middle East and certain other small countries, are generally called **developed countries**.

Limitation of average income: while it is useful for comparison, it **hides disparities**. Two countries may have the same average income, but in one, almost everyone may be equally well-off, while in the other, a few are extremely rich and the rest poor.

AVERAGE INCOME CAN MISLEAD

Country A: five citizens each earn ₹10,000 per month (average ₹10,000). Country B: four earn ₹500 and one earns ₹48,000 (average also ₹10,000). Most people would prefer to live in Country A, which has a more **equitable** distribution.

Income and other criteria: Haryana, Kerala and Bihar. Of the three states, **Haryana** has the **highest per capita income** and **Bihar** the **lowest**. Yet **Kerala** has a much lower **Infant Mortality Rate** (about 7 per 1,000 live births, versus about 30 in Haryana and 32 in Bihar), a higher **literacy rate** (about 94%) and a higher **Net Attendance Ratio** than Haryana. Why? Kerala has **adequate provision of basic**

health and educational facilities. Also, in some states, the **Public Distribution System (PDS)** functions well; health and nutritional status of people there is likely to be better.

KEY TERMS

- **Infant Mortality Rate (IMR)**: the number of children that die before the age of one year as a proportion of 1,000 live children born in that particular year.
- **Literacy Rate**: the proportion of literate population in the 7 years and above age group.
- **Net Attendance Ratio**: the total number of children of age group 14 and 15 years attending school as a percentage of the total number of children in the same age group.
- **Body Mass Index (BMI)**: weight in kg divided by the square of height in metres; used to check under-nutrition among adults. If BMI is less than **18.5**, the person is undernourished; if more than **25**, overweight.

Public facilities. Money in your pocket cannot buy all the goods and services you need to live well. Income by itself is not a completely adequate indicator of material goods and services that citizens are able to use. Normally, money cannot buy a **pollution-free environment** or ensure **unadulterated medicines**, unless you can afford to shift to a community that already has these. Money may not protect you from infectious diseases unless the whole community takes preventive steps. It is cheaper to provide collective facilities (schools, hospitals, security) than for individuals to buy them.

Human Development Index (HDI). Once we realise income is not adequate, we think of other criteria. The **Human Development Report** published by the **UNDP (United Nations Development Programme)** compares countries based on the **educational levels of people, their health status and per capita income**. On this index, **Sri Lanka** ranks much higher than India, and many small neighbouring countries do better than India in some indicators despite being much

smaller economies. In recent reports India ranks around 130th out of about 190 countries.

Sustainability of development

Recent evidence suggests that the **groundwater** in many parts of India is under serious threat of overuse (e.g., in **Punjab, western UP**, hard rock plateau areas of central and south India, some coastal regions and Rajasthan). One-third of the country is overusing its groundwater reserves. **Non-renewable resources** like crude oil will get exhausted after years of use; India has limited crude oil reserves (estimates suggest they may last only a few decades at current rates), so it imports a large share.

SUSTAINABLE DEVELOPMENT

Development that meets the needs of the present **without compromising the ability of future generations** to meet their own needs. Environmental degradation does not respect state or national boundaries; it is a **global issue**. Our future is linked together. **Sustainability** of development is a new area of knowledge, in which scientists, economists, philosophers and other social scientists are working together.

"HIGHER INCOME MEANS HIGHER DEVELOPMENT"

Not always. Kerala has a lower per capita income than Haryana, yet has lower IMR and higher literacy. Income alone cannot measure development.

BOARD FAVOURITES

"Why do different people have different and conflicting goals?", "Why is average income an important but limited criterion?" (3 marks), "Why did Kerala rank higher in human development than Haryana?", "What is HDI? Which indicators does it use?", "Explain sustainable development with

examples" (5 marks). Learn IMR, literacy rate, NAR and BMI definitions word-for-word.

Quick recap

- Different people have different, often conflicting, developmental goals.
- People seek income plus non-material goals: freedom, security, equal treatment, respect.
- Per capita income = total income ÷ population; used by the World Bank; India is low middle-income.
- Average income hides disparities; Kerala beats Haryana in IMR and literacy due to public facilities.
- HDI by UNDP: education, health, per capita income.
- Sustainable development: meet present needs without harming future generations (e.g., groundwater, crude oil).

Practice questions

1. Per capita income is calculated as

   (a) total income × total population (b) total exports ÷ total imports (c) total income of the country ÷ total population (d) GDP ÷ number of workers

2. Which organisation publishes the Human Development Report?

   (a) World Bank (b) IMF (c) WTO (d) UNDP

3. Infant Mortality Rate indicates the number of children who die before the age of one year per

   (a) 100 live births (b) 1,000 live births (c) 10,000 live births (d) 1,00,000 population

4. A person with a BMI less than 18.5 is considered

   (a) undernourished (b) overweight (c) obese (d) of normal weight

5. Kerala has a lower infant mortality rate than Haryana mainly because

   (a) it has a higher per capita income (b) it has more industries (c) it has adequate provision of basic health and educational facilities (d) it has a larger population

6. Which of these is an example of conflicting developmental goals?

   (a) Everyone wants clean air (b) Industrialists want dams for electricity, while tribals fear displacement (c) Students want good schools (d) Farmers want good rainfall

7. Net Attendance Ratio refers to children of which age group attending school?

   (a) 6 to 10 years (b) 11 to 13 years (c) 14 and 15 years (d) 16 to 18 years

8. Why is average income an important but inadequate criterion for development?

9. What is sustainable development? Why is it essential? Explain with examples.

Answers: 1. c 2. d 3. b 4. a 5. c 6. b 7. c 8. see notes 9. see notes